EXECUTIVE SUMMARY

1. Introduction

The municipality of Pamplona was created by ecclesiastics and was named Pamplona in 1884 by Vicar Montenegro in memory of his hometown in Spain. It is a fourth class municipality which is situated in the northwestern coast of the Province of Cagayan with an area of 17,176 hectares.

The audit covered the accounts and operations of the Municipality of Pamplona for the year 2019 and was aimed at determining whether Management presented fairly the financial statements of the Municipality in adherence to the Philippine Public Sector Accounting Standards, whether prevailing laws, rules and regulations have been complied with, and funds were utilized in the most efficient, effective and economical manner. Financial, compliance audit and performance audit were conducted to achieve these audit objectives.

2. Highlights of Financial Information

The table below shows that the Municipality's Assets, Liabilities and Government Equity as of December 31, 2019, were P299,713,761.11, P84,717,801.98 and P214,995,959.13, respectively with an increase of 7.31%, 9.06% and 6.63% respectively from last year's figures.

On the other hand, income earned and expenses incurred during the year amounted to P107,539,899.98 and P90,500,827.90, which increased by 10.35% and 19.91% respectively from last year's figures.

Particulars	2019	2018	Increase(Decrease)	
			Amount	Percentage
Financial Position				
Assets	299,713,761.11	279,305,709.05	20,408,052.06	7.31%
Liabilities	84,717,801.98	77,680,597.27	7,037,204.71	9.06%
Government Equity	214,995,959.13	201,625,111.78	13,370,847.35	6.63%
Financial Performance				
Income	107,539,899.98	97,457,558.21	10,082,341.77	10.35%
Expense	90,500,827.90	75,477,094.37	15,023,733.53	19.91%
Appropriations, Allotments and Obligation				
Appropriations	225,220,275.05	142,775,773.31	82,444,501.74	57.74%
Allotments	225,220,275.05	142,775,773.31	82,444,501.74	57.74%
Obligations	146,819,467.50	68,774,739.38	78,044,728.12	113.48%

3. Independent Auditor's Report on the Financial Statements

We rendered a Qualified Opinion on the fairness of the financial statements since the physical existence and condition of the Property, Plant and Equipment, as well as the correctness and validity of the account valued at P 130,205,318.61 (net of depreciation) could not be ascertained due to the non-recognition of 100% of Local Road and Road Network System in the books of the Municipality. The audit team was not able to apply other alternative audit procedures in determining the correct amount of said accounts.

4. Summary of Significant Audit Observations and Recommendations

1. Some programs, projects and activities under the 20% Development Fund (DF) amounting to P15,008,000.00 or 70.90% of the total Development Fund were not fully implemented during the year, hence deprived the intended beneficiaries of the socio – economic benefits that could have been derived thereat.

   We recommended that Management fast track the completion of all on-going and unimplemented projects funded under the 20% Development Fund to optimize utilization thereof and fully deliver on time these benefits to the community.

   Likewise, the concerned department was advised to monitor regularly the implementation of the 20% Development Plan and closely coordinate with other departments to fully achieve the desired goals and benefits as planned**.**

2. Due to National Government Agencies (NGAs) amounting to P 5,159,110.70 for different projects and programs implemented by the municipality remained dormant for several years and not returned to the source agencies contrary to Section 4 of COA Circular No. 94-013 dated December 13, 1994 and Section 3.1.2 of COA Circular No. 2012-01 dated June 14, 2012**.**

   We recommended that Management return immediately to the source NGAs the idle funds aggregating P 5,159,110.70 pursuant to Section 4 of COA Circular No. 94-013 dated December 13, 1994 and Section 3.1.2 of COA Circular No. 2012-01 dated June 14, 2012 on the submission, and liquidation of fund transfer received from National Government Agencies (NGAs) to make these funds available for appropriation to other priority programs, projects and activities of the government.

5. Summary of Total Suspensions, Disallowances, and Charges

For CY 2019, audit disallowance totaling to P1,488,800.00 was issued and no settlement was made during the year.

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	**-**	**-**	**-**	**-**	**-**
Disallowances					
Prior Years	-	P1,488,800.00	-	P1,488,800.00	-
Current Year	-		-		-
Total	**-**	**P1,488,800.00**	**-**	**P1,488,800.00**	**-**
Charges			-		
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	**-**	**-**	**-**	-	-

6. Status of Implementation of Prior Years' Audit Recommendations

Out of the eleven (11) audit recommendations in the prior years' report, three (3) were fully implemented and eight (8) were partially implemented as at year end.